

Insurance is selling our risks to someone else for a premium (fee). For instance, let us say we own a house and the house has risks like property damage, fire, etc. and in all these cases we will have to suffer significant losses.

We do not know if the mishap will happen or not and the chances of it happening are slim. But, if it happens, it can have serious consequences. With an insurance cover, we transfer the risk to the insurer. The insurer profits from the insurance premium if the year passes smoothly without any bumps and if a claim comes along, he will pay for damages. For instance, the insurer insures 100 houses and only 1 of them has a loss on average. So, the premium from 80 homes will be paid to that claimant and the remaining 20 premiums will become his profit.

What are we getting from insurance? We are protecting ourselves from a large loss that is worth years of our income by paying a small portion of our current income.

